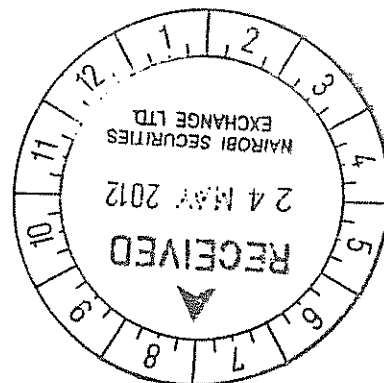


24th May 2011

The Chief Executive
Nairobi Securities Exchange
Nation Centre
Kimathi Street
NAIROBI.



Dear Sir,

**RE: THE CO-OPERATIVE BANK OF KENYA LIMITED
GROUP FINANCIAL RESULTS FOR THE FIRST
QUARTER ENDED 31ST MARCH 2012**

Enclosed please find:-

- a. The unaudited financial statements of the Co-operative Bank Group for the first quarter ended 31st March 2012, together with the disclosures on earnings per share.
- b. The statement on cash flows, and changes in equity for the same period.

Yours faithfully


Rosemary Githaiga (Mrs)
COMPANY SECRETARY
Encl.

Chief Executive Officer
Capital Markets Authority
Embankment Plaza
3rd Floor, Longonot Road
Upper Hill,

The Board of Directors are pleased to announce the Un-audited results of the Group and the Bank for the Period ended 31 March 2012



	GROUP			BANK		
	31-Mar-12 KSHS.'000 (Un-audited)	31-Dec-11 KSHS.'000 Audited	31-Mar-11 KSHS.'000 (Un-audited)	31-Mar-12 KSHS.'000 (Un-audited)	31-Dec-11 KSHS.'000 Audited	31-Mar-11 KSHS.'000 (Un-audited)
1 BALANCE SHEET						
A ASSETS						
1 Cash (local and foreign)	6,459,134	6,072,339	4,807,994	6,367,316	6,072,333	4,615,148
2 Balances due from Central Bank Of Kenya	9,767,005	8,078,710	10,398,955	9,767,005	8,078,710	10,398,955
3 Kenya Government securities	17,856,028	16,986,558	11,192,513	17,664,750	16,796,156	11,093,322
4 Foreign Currency Treasury bills and bonds	-	-	-	-	-	-
5 Deposits and balances due from local banking institutions	911,524	1,746,714	3,894,770	911,524	1,719,694	3,894,770
6 Deposits and balances due from banking institutions abroad	4,088,989	5,718,021	8,614,320	4,088,989	5,718,021	8,614,320
7 Government and other securities held for dealing purposes	4,907,779	5,219,834	24,888,678	4,907,779	5,218,959	24,888,678
8 Tax recoverable	-	-	-	-	-	-
9 Loans and advances to customers (net)	113,582,567	109,408,815	91,512,500	113,582,567	109,408,815	91,512,500
10 Investment Securities	31,029	31,029	32,129	31,029	31,029	32,129
11 Balances due from group companies	-	-	-	-	2,243	-
12 Investments in associates	1,149,662	1,028,160	121,090	755,118	755,118	121,090
13 Investments in subsidiary companies	-	-	-	240,000	280,000	280,000
14 Investment in joint ventures	-	-	-	-	-	-
15 Investment in properties	-	-	-	-	-	-
16 Property and equipment	9,068,054	8,683,473	6,444,047	9,058,067	8,672,350	6,434,577
17 Prepaid lease rentals	39,478	39,478	39,938	39,478	39,478	39,938
18 Intangible assets	600,189	613,042	567,877	346,691	359,197	307,860
19 Deferred tax asset	845,036	844,996	376	844,600	844,600	-
20 Retirement benefit asset	-	-	-	-	-	-
21 Other assets	4,694,221	3,840,431	6,937,729	4,642,748	3,775,685	6,870,883
22 TOTAL ASSETS	174,000,697	168,311,601	169,452,916	173,247,662	167,772,389	169,104,170
B LIABILITIES						
23 Balances due to Central Bank Of Kenya	-	-	-	-	-	-
24 Customer deposits	145,930,577	142,632,308	135,954,244	145,930,577	142,704,593	135,954,244
25 Deposits and balances due to local banking institutions	984,020	1,881,284	2,302,228	984,020	1,881,284	2,302,228
26 Deposits and balances due to foreign banking institutions	1,030	-	-	1,030	-	-
27 Other money market deposits	-	-	-	-	-	-
28 Borrowed funds	381,688	227,563	4,560,740	381,688	227,563	4,560,740
29 Balances due to group companies	-	-	-	-	2,986	-
30 Tax payable	450,240	63,702	583,050	446,637	65,054	572,385
31 Dividends payable	-	-	-	-	-	-
32 Deferred tax liability	-	-	132,939	-	-	132,939
33 Retirement benefit liability	-	-	-	-	-	-
34 Other liabilities	2,126,866	1,960,125	3,818,375	2,042,742	1,919,291	3,775,823
35 Total liabilities	149,874,421	146,764,980	147,351,576	149,786,693	146,800,771	147,298,359
C SHAREHOLDERS' EQUITY						
36 Paid up/assigned capital	3,492,370	3,492,370	3,492,370	3,492,370	3,492,370	3,492,370
37 Share premium/(discount)	4,286,736	4,286,736	4,286,736	4,286,736	4,286,736	4,286,736
38 Revaluation reserve	369,514	369,514	476,833	339,526	339,526	346,783
39 Retained earnings/ Accumulated losses	13,665,949	11,075,778	11,492,724	13,149,361	10,654,898	11,464,114
40 Statutory Loan Loss Reserve	205,978	205,978	204,954	205,978	205,978	204,954
41 Proposed dividends	1,396,948	1,396,948	1,396,948	1,396,948	1,396,948	1,396,948
42 Capital grants	590,051	595,163	613,906	590,051	595,163	613,906
43 TOTAL SHAREHOLDERS' FUNDS	24,007,545	21,422,487	21,964,471	23,460,969	20,971,618	21,805,811
43.1 Non-Controlling Interest	118,731	124,134	136,869	-	-	-
44 TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	174,000,697	168,311,601	169,452,916	173,247,662	167,772,389	169,104,170

III OTHER DISCLOSURES

	GROUP		BANK		
	31-Mar-12	31-Dec-11	31-Mar-12	31-Dec-11	31-Mar-11
	KSHS,'000	KSHS,'000	KSHS,'000	KSHS,'000	KSHS,'000
	(Un-audited)	Audited	(Un-audited)	Audited	(Un-audited)
1. NON PERFORMING LOANS AND ADVANCES					
a) Gross non-performing loans and advances	5,659,678	5,207,834	4,985,934	5,659,678	4,985,934
Less	-	-	-	-	-
b) Interest in suspense	833,177	1,070,677	1,058,262	833,177	1,058,262
c) Total Non-performing loans (a-b)	4,826,501	4,137,157	3,927,672	4,826,501	3,927,672
Less	-	-	-	-	-
d) Loan loss provisions	2,752,372	3,827,664	2,647,703	2,752,372	2,647,703
e) Net Non performing loans (c-d)	2,074,129	309,493	1,279,969	2,074,129	1,279,969
f) Realizable Value of Securities	1,985,795	309,493	1,985,795	309,493	1,279,800
g) Net NPLs Exposure (e-f)	88,334	-	169	88,334	169
2. Insider loans and advances					
a) Directors, Shareholders and associates	147,308	150,036	146,852	147,308	146,852
b) Employees	5,054,685	4,777,870	4,256,339	5,054,685	4,256,339
c) Total insider loans, Advances and Other Facilities	5,201,993	4,927,906	4,403,191	5,201,993	4,403,191
3. Off-Balance Sheet Items					
a) Letters of credit, guarantees, acceptances	13,294,541	14,962,504	13,112,696	13,294,541	13,112,696
b) Other contingent liabilities	-	-	-	-	-
c) Total contingent liabilities	13,294,541	14,962,504	13,112,696	13,294,541	13,112,696
4. Capital strength					
a) Core capital			23,069,848	22,103,269	19,051,375
b) Minimum Statutory Capital			700,000	700,000	500,000
c) Excess/(deficiency)			22,369,848	21,403,269	18,551,375
d) Supplementary capital			472,547	518,422	552,205
e) Total capital (a+d)			23,542,395	22,621,691	19,603,580
f) Total risk weighted assets			141,027,102	137,792,005	115,180,610
g) Core capital/total deposit liabilities			15.7%	15.3%	14.0%
h) Minimum Statutory Ratio			8.0%	8.0%	8.0%
i) Excess/(deficiency)			7.7%	7.3%	6.0%
j) Core capital/total risk weighted assets			16.4%	16.0%	16.5%
k) Minimum Statutory Ratio			8.0%	8.0%	8.0%
l) Excess/(deficiency)(j-k)			8.4%	8.0%	8.5%
m) Total capital/total risk weighted assets			16.7%	16.4%	17.0%
n) Minimum Statutory Ratio			12.0%	12.0%	12.0%
o) Excess/(deficiency)(m-n)			4.7%	4.4%	5.0%
4. Liquidity					
a) Liquidity Ratio			25.6%	27.2%	40.2%
b) Minimum Statutory Ratio			20.0%	20.0%	20.0%
c) Excess/(deficiency)(a-b)			5.6%	7.2%	20.2%

The above are extracts of the financial statements and records of the institution.

Signed: S C Muchiri, EHS
Group Chairman

Signed: Dr.G. Muriuki, MBS
Group Managing Director & CEO

THE CO-OPERATIVE BANK OF KENYA LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE QUARTER ENDED 31 MARCH 2012

	Share Capital	Share Premium	Revaluation Reserve	Statutory Reserve	Fair value Reserve	Proposed Dividends	Retained Earnings of the company	Attributable to equity holder	Non-controlling interest	Total equity
Balance at 1 January 2012	3,492,370	4,286,736	369,514	205,978	(3,066,163)	1,396,948	14,141,941	20,827,324	124,134	20,951,457
Total comprehensive income	-	-	-	-	-	-	1,956,562	1,956,562	(5,403)	1,951,159
Profit for the year	-	-	-	-	-	-	-	598,711	-	598,711
Other comprehensive income	-	-	-	-	598,711	-	-	-	-	-
Reversal through income statement	-	-	-	-	-	-	-	-	-	-
Realisation of revaluation surplus	-	-	-	-	-	-	-	-	-	-
Deferred tax on realisation of revaluation surplus	-	-	-	-	-	-	-	-	-	-
Net movement in revenue grants for the year	-	-	-	-	-	-	34,898	34,899	-	34,899
Transfers to revenue reserve	-	-	-	-	-	-	-	-	-	-
2011-Dividends paid	-	-	-	-	-	-	-	-	-	-
Proposed dividends	-	-	-	-	-	-	-	-	-	-
Balance at 31 March 2012	3,492,370	4,286,736	369,514	205,978	(2,467,452)	1,396,948	16,133,401	23,417,494	118,731	23,536,225

CO-OPERATIVE BANK OF KENYA LIMITED
GROUP CASH FLOW STATEMENT

	31-Mar-12	31-Dec-11
	Kshs'000	Kshs'000
a. CASH FLOWS FOR THE PERIOD TO 31ST MARCH 2012		
Cash generated from / (used in) operations	(1,725,057)	(4,161,224)
Taxation Paid	(58,469)	(1,310,283)
Net cash generated from / (used in) operating activities	(1,783,526)	(5,471,507)
b. CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	385,717	(3,482,813)
Purchase of intangible assets	-	(118,426)
Purchase of other investments	-	9,147,234
Proceeds from disposal of property and equipment	-	9,589
Net cash used in investing activities	385,717	5,555,584
c. CASH FLOWS FROM FINANCING ACTIVITIES		
Dividends paid	-	(1,396,948)
Loans received	-	122,000
Loans repaid	-	(32,993)
Net cash used in financing activities	-	(1,307,941)
INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS	(1,339,340)	(1,123,864)
CASH AND CASH EQUIVALENTS AS AT 1ST JANUARY 2012	14,835,967	15,863,967
Foreign Exchange Gain	286,444	95,864
CASH AND CASH EQUIVALENTS	13,783,070	14,835,967